

“I used a limit order to sell at 11.47,” below the predicted target of 11.66 and below 11.50, where everyone else would put their orders. If triggered, he would make 25%.

Over the coming days, he watched the stock reach the resistance zone and then come tumbling down. It completed a throwback in mid-January. Fortunately, price rewarded his patience when it resumed climbing.

It formed another symmetrical triangle, and when it broke out upward, “I removed the limit order. Why? Because the measure rule from the triangle [13.16] was above my sell price, I didn't want to limit profits in case it was correct.”

Price hit the new target but kept going up, pausing at D. Then it created a flag pattern that predicted a target of 16.19. Price hit that target 2 days after it pierced the top flag trendline. Price peaked at A and then made two successively lower lows, B and C. This was a three falling peaks pattern, and it spelled trouble.

“I checked my two favorite indicators, RSI and CCI. The RSI was in overbought range since March, showing a horizontal movement even as price climbed. CCI was even more dramatic. It peaked in March and then made successively lower peaks in April through May.” That divergence, where price moved up but the indicator moved down, signaled a sale.

The day after price pierced the three falling peaks confirmation line (the lowest low in the pattern), he sold and received a fill at 13.77 for a gain of 50% in about 4 months. The stock continued lower and reached bottom in October at 7.38.